Board of Education Meeting
2026-27 Finance Focus
Public Employee Retirement System (PERS)



PORTLAND
Public Schools

March 10, 2026

DISTRICT INFORMATION

LARGEST DISTRICT IN OREGON

NUMBER OF SCHOOLS

45 ELEMENTARY		10 HIGH
11 K-8	14 MIDDLE	1 K-12

BOARD MEMBERS

Zone 1
Christy Splitt

Zone 2
Michelle DePass (Vice-Chair)

Zone 3
Patte Sullivan

Zone 4
Rashelle Chase-Miller

Zone 5
Virginia La Forte

Zone 6
Stephanie Engelsman

Zone 7
Edward (Eddie) Wang (Chair)

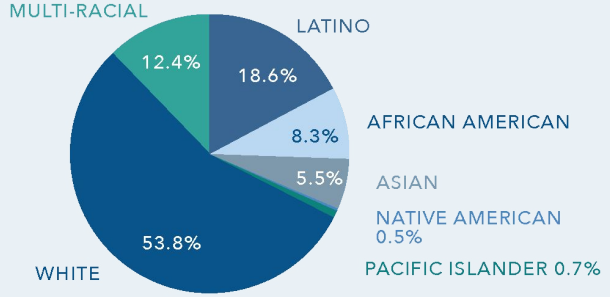
Student Representative
Ian Ritorto

STUDENT ENROLLMENT*

44,086 TOTAL

41,630	794	356	1,306
STUDENTS IN DISTRICT SCHOOLS	STUDENTS IN COMUNITY BASED PROGRAMS	STUDENTS IN SPECIAL SERVICES PROGRAMS	STUDENTS IN PUBLIC CHARTER SCHOOLS

STUDENT INFORMATION



RECEIVE ESL SERVICES
10%

ELIGIBLE FOR FREE MEALS via direct certification
31.3% 2023-24 school year

RECEIVE SPED SERVICES
17%

District Continuous Improvement Plan GOAL AREAS

- ATTENDANCE
- LITERACY
- MATH
- 9th Grade SUCCESS

*Numbers are approximate

TOGETHER, WE *RISE*

WITH **EXCELLENCE.** WITH **PURPOSE.**

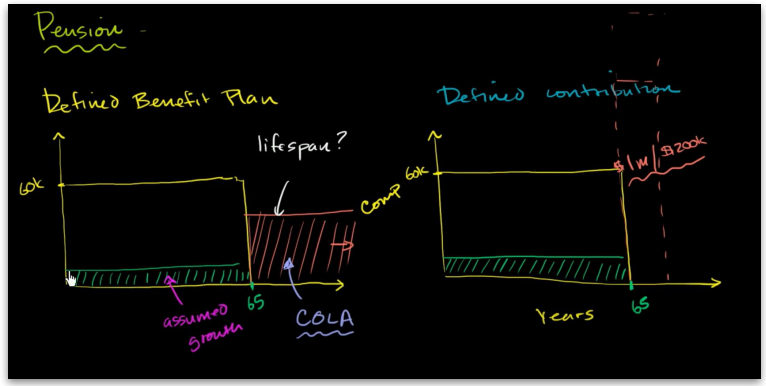
Finance Focus: Public Employee Retirement System

- Overview of the Defined Benefit Program (Pension)
- System Administration: design and reform impacts
- Employer Responsibilities
- Employee Benefits: Deferred income for life



Overview of the Defined Benefit Program (Pension)

- Purpose: To provide a reliable, long-term retirement income for public employees through a structured pension plan.
- Structure: Defined Benefit programs offer a specific, predetermined monthly benefit upon retirement, rather than being based solely on investment contributions.



Khan Academy Defined Benefit vs. Defined Contribution Program Informational Video

System Administration: Design and Reform Impacts

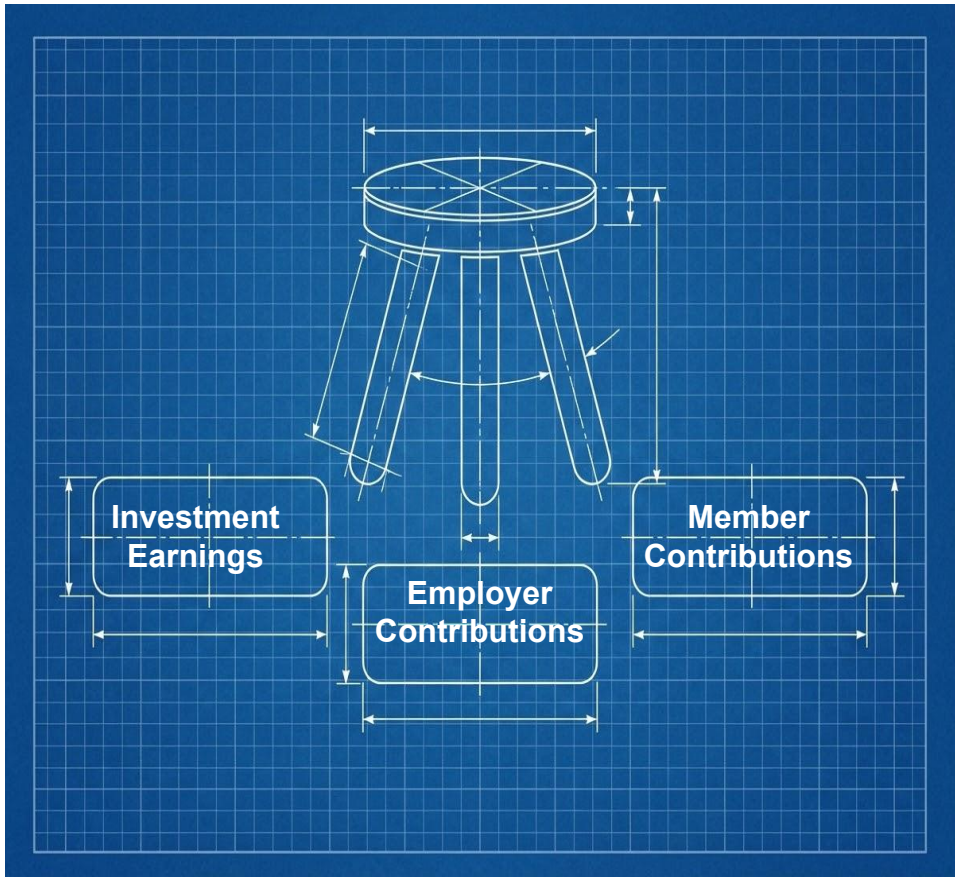
- System Design: Covers how the pension plan is organized and managed at the state and district levels.
- Reform Impacts: Addresses the ongoing legal and administrative changes to the system and how these adjustments affect long-term sustainability and benefit structures.

Employer Responsibilities

Employer Financial Contributions

- School districts and public agencies are responsible for funding a significant portion of the retirement system.
- For a typical teacher, the district pays approximately $22,578 annually toward PERS and debt service for Pension Obligation Bonds.

The 3 Sources of Funding for PERS



Member contributions are fixed. Employer Contributions fluctuate to offset investment gains/losses (6.9% assumed rate of return).

Employer Compliance and Reporting

- Accurate reporting of employee hours to PERS is mandatory to ensure proper benefit calculations.
- Regular internal audits are conducted to ensure that financial practices align with state standards and laws.



Operationalizing System Changes

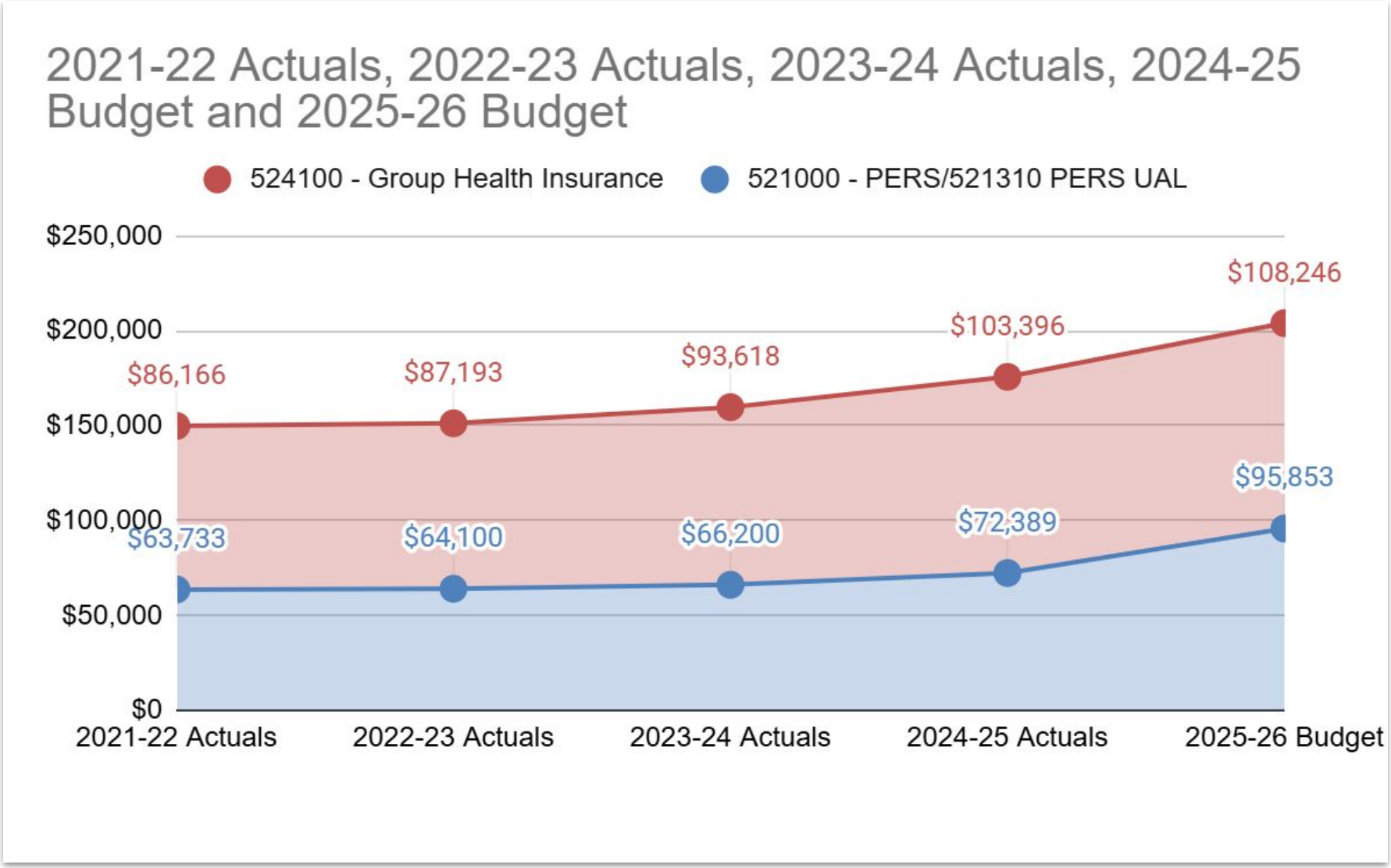
- Mitigating financial impacts: forecasting for and mitigating impacts of rate fluctuations (budget reductions, pension obligation bonds)
- Administering reforms: changes to employee contribution options, retiree work limitations, etc.

Every Employer is different based on:

- Employee demographics and service type
- Whether or not they have established a side account by selling pension obligation bonds
- NOTE: debt service on pension obligation bonds is paid from the operating budget
- Expiration of side accounts eliminates the rate credit which increases employer rates

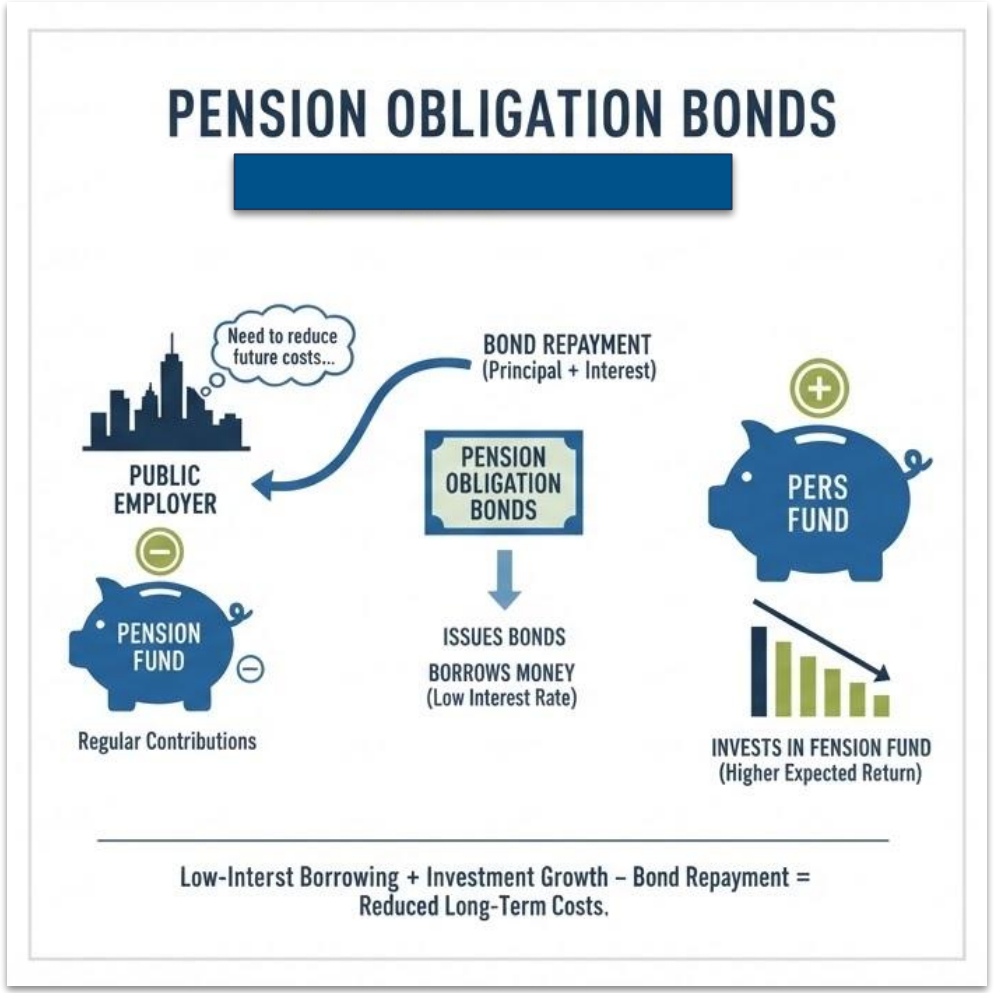
For PPS, the 2021-23 valuation period that set employer rates for 2025-27 increased by 5.33 percentage points and is equivalent to $28 million each year in additional employer contributions.

Recent Budget Impacts of Changes

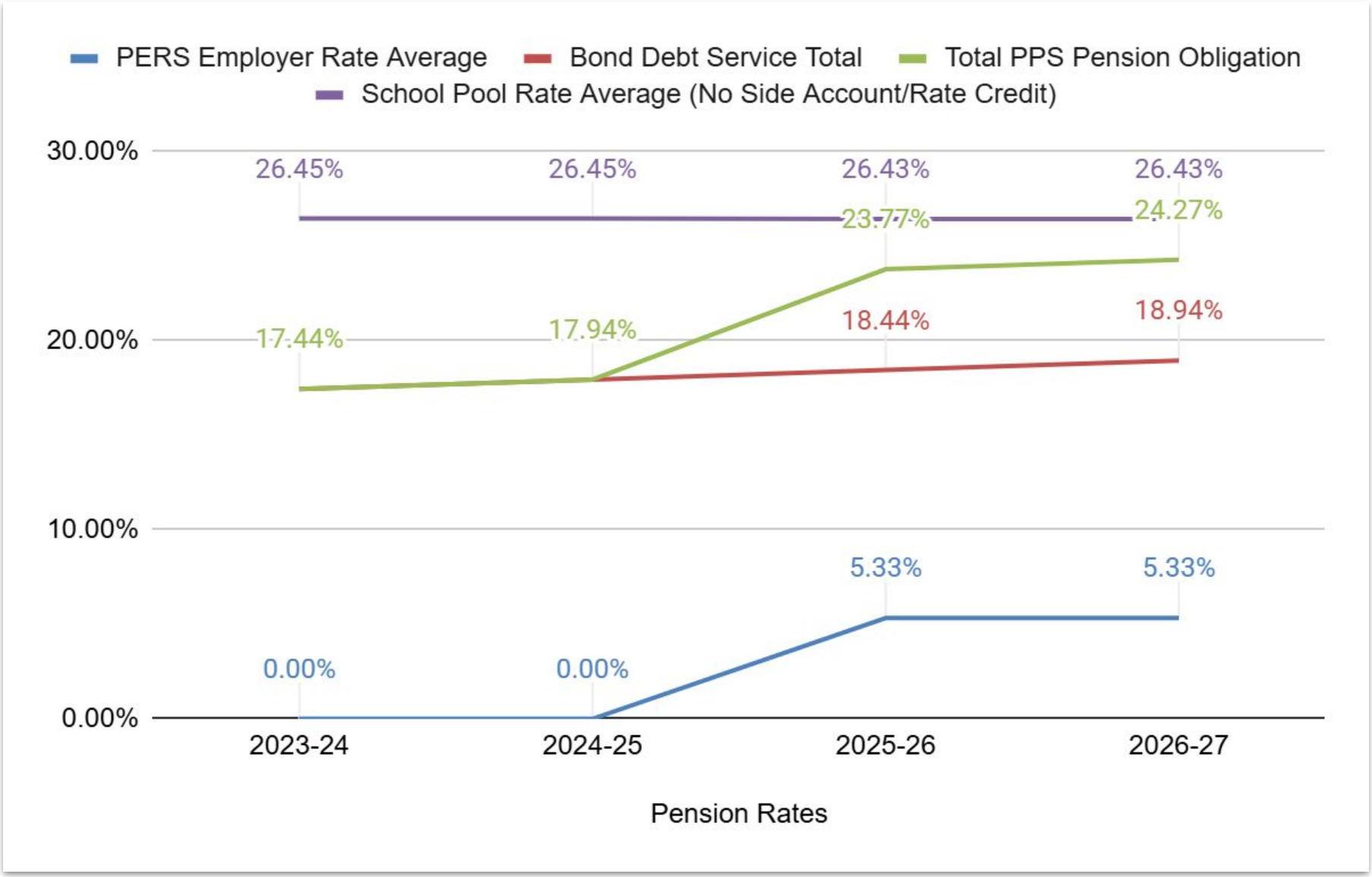


Side Accounts and Pension Bonds

Goal	To reduce the employer's ongoing PERS contribution rates.
Source	Lump-sum deposits from bonds or budget surpluses.
Impact	Acts as a credit against the employer's pension debt.
Visible In	PERS contribution rate tables (like the one you are viewing) as a reduced percentage.
Costs	Cost of issuance, principal, and interest paid from operations budget



PPS Pension Obligation vs. School Pool



Employee Benefits: Deferred income for life

For Employees: Deferred Income for Life

- **Guaranteed Income:** The system is designed to provide retirees with "deferred income for life," ensuring financial security throughout their retirement years.
- **Compensation Package:** *Retirement benefits are a core component of the total compensation for public employees*, often making up a significant portion of employer-paid benefits.



Post-reform PERS Benefit Tiers

Feature	Tier 1	Tier 2	OPSRP
Hire Date	Before Jan 1, 1996	Jan 1, 1996 – Aug 28, 2003	On or after Aug 29, 2003
Normal Retirement	Age 58 (or 30 years service)	Age 60 (or 30 years service)	Age 65 (or 58 with 30 years)
General Formula	1.67% × FAS* × Years	1.67% × FAS* × Years	1.50% × FAS* × Years
Calculation Methods	Higher of Full Formula, Money Match, or Formula + Annuity	Higher of Full Formula or Money Match	Full Formula only
Unused Sick Leave	50% added to FAS*	50% added to FAS*	Not included in FAS*
Vacation Payout	Included in FAS*	Not included in FAS*	Not included in FAS*

* FAS = Final Average Salary, calculated on highest three years of earnings

Scenario: OPSRP (Tier 3) Educator (fully eligible)

- General Formula portion of benefit:
  - Final Average Salary (FAS)= $105,000
  - FAS = $105,000/yr or $8,750/mth
  - .45 x $105,000 = $47,250/yr or $3,938/mth
- Individual Account Program (IAP) portion:
  - .33 x $47,250 = $15,593/yr or $1,299/mth
- **Total benefit = $62,843/yr or $5,237/mth* for LIFE**

Feature	OPSRP
Hire Date	On or after Aug 29, 2003
Normal Retirement	Age 65 (or 58 with 30 years)
General Formula	1.50% × FAS* × Years
Calculation Methods	Full Formula only

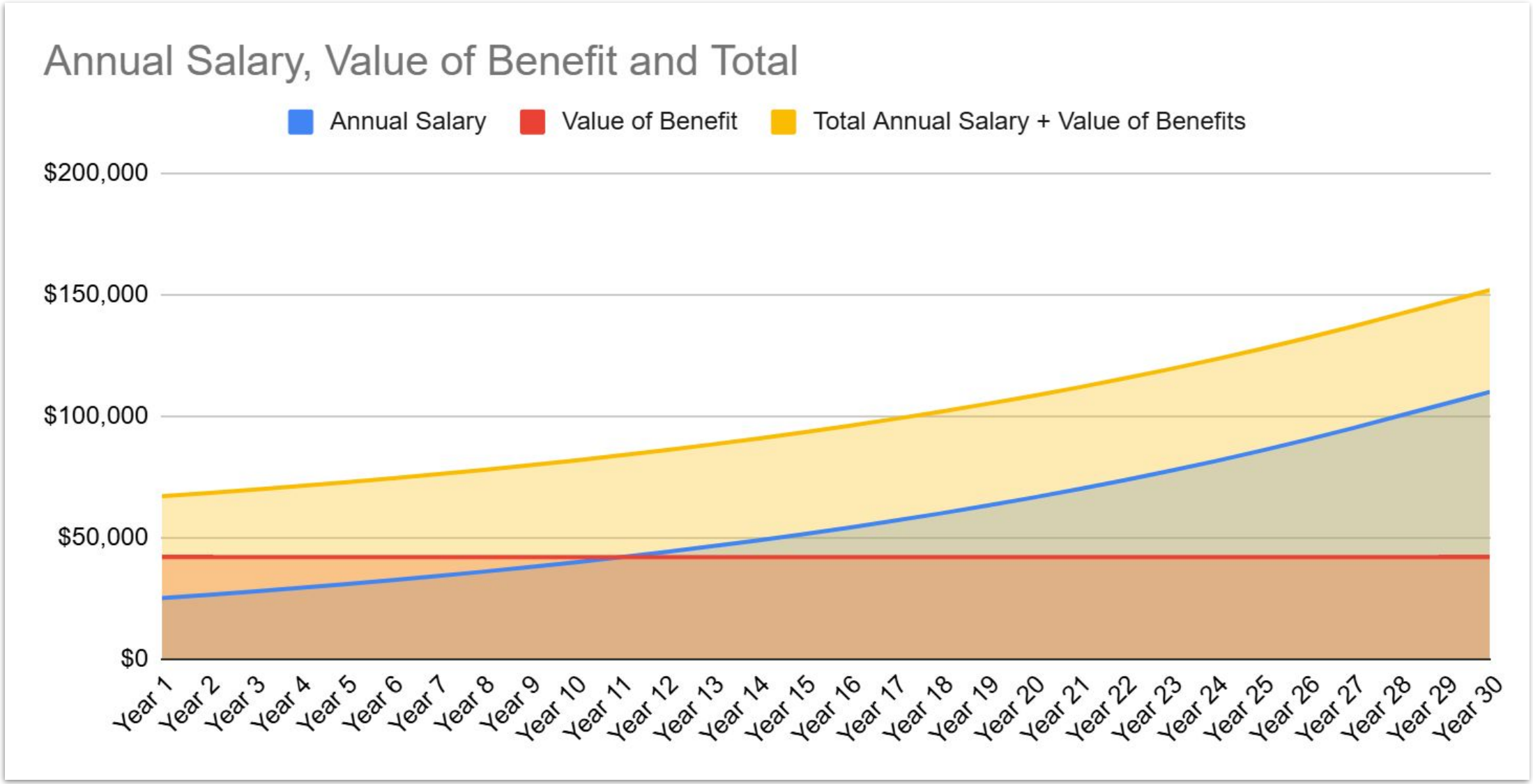
* COLA Applied 2-2.8% annually afterwards

Present Value of Future Benefits

- Total benefit of $62,843/yr for a 20 year period = $1,256,860
- $1,256,860 divided over 30 years of service for full eligibility = $41,895 each year
- Regardless of amount earned in any given year prior to the FAS, this staff member is gaining $41,895 in future benefits



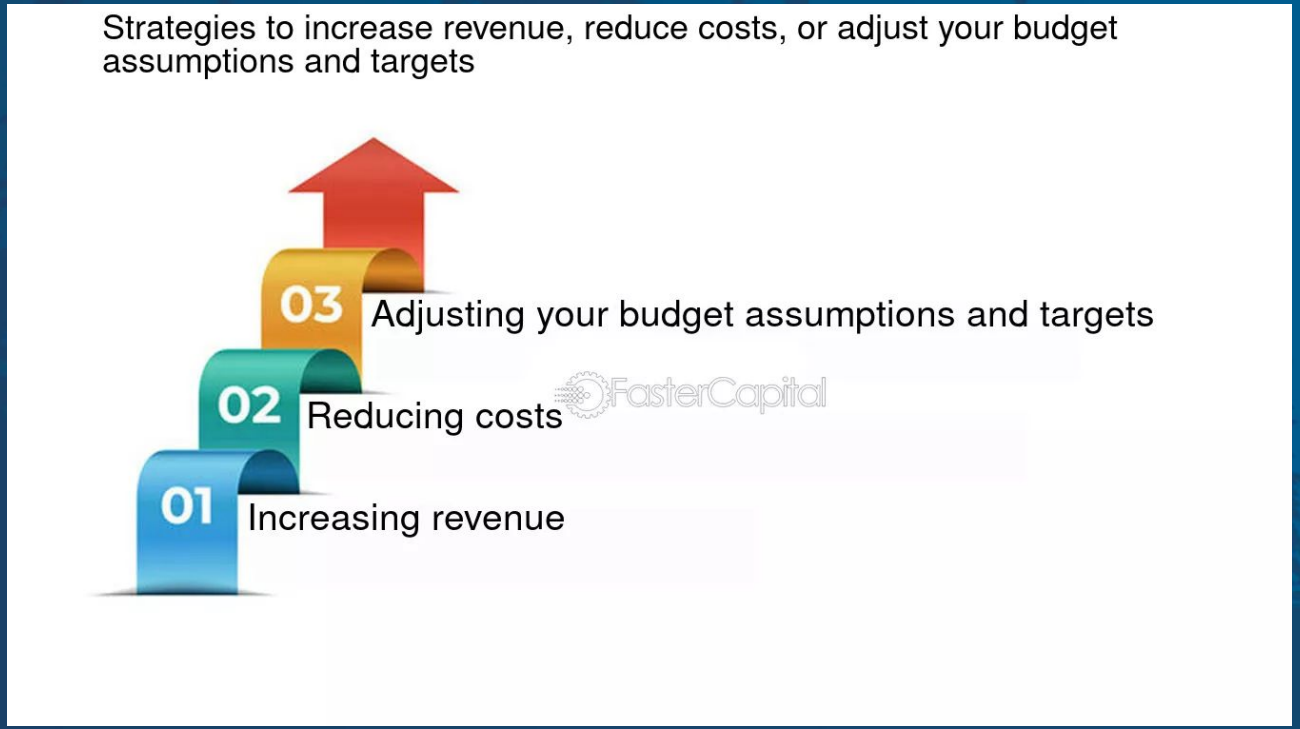
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*** COLA Applied 2-2.8% annually afterwards**

Questions?

Michelle Morrison
Chief Financial Officer
mimorrison@pps.net



Appendix

Prior period highlights and reference slides.

Budget Principles

Principles create a shared understanding of the overarching values that underpin budget development.

- ➔ Providing students with an exceptional educational experience and ensuring their academic success should drive the budget process
- ➔ Decisions should be driven by data
- ➔ Base resourcing decisions on cost-effectiveness
- ➔ Prioritize the Core Program in all schools
- ➔ Critically re-examine patterns of spending
- ➔ Provide every student with equitable access
- ➔ Take a long-term perspective
- ➔ Be transparent

District Continuous Improvement Plan:
Four Goal Areas



ATTENDANCE

LITERACY

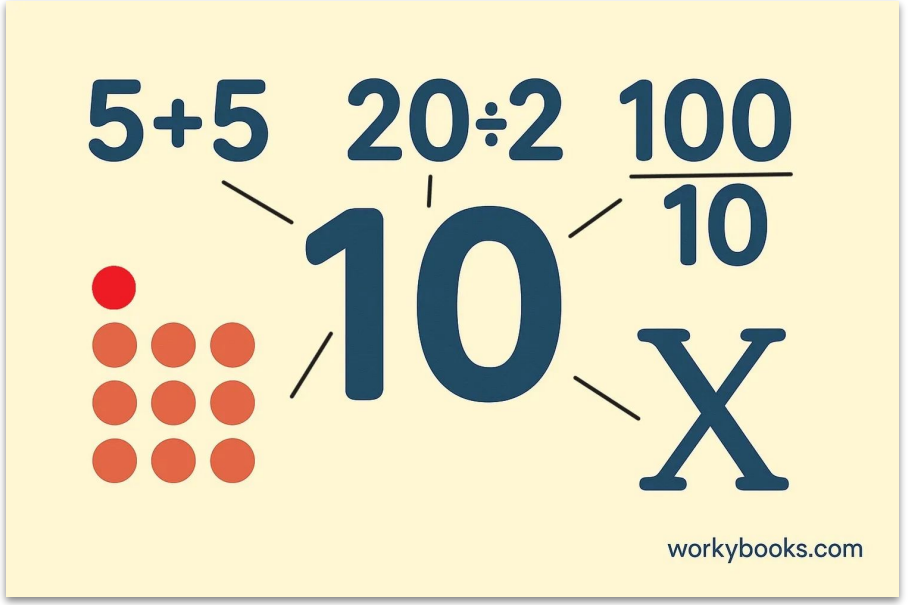
MATH

9TH GRADE SUCCESS

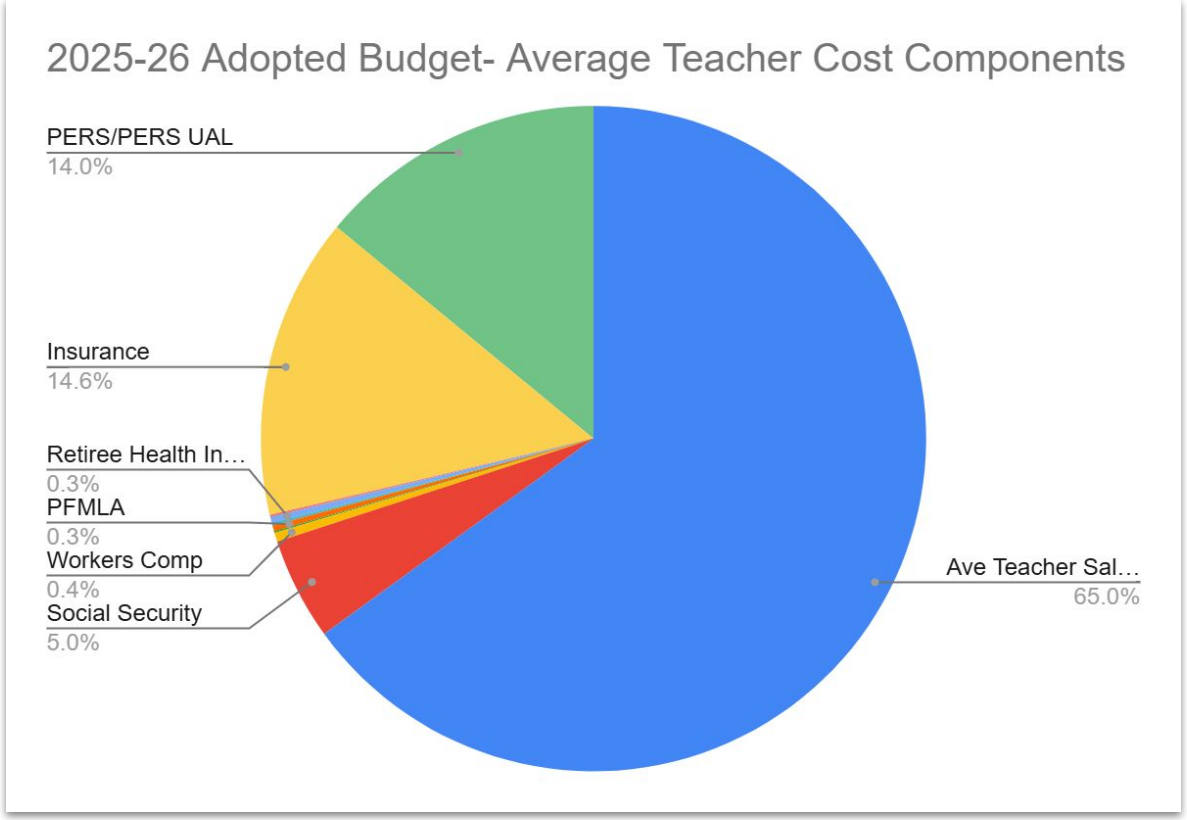
$50 million Budget Gap for 2026-27

Equivalent Values:

- $1,179 per student (42,404 students)
- 14.5 school days ($3.5 million each)
- 312.5 Educator FTEs ($160k each)
- 650 Paraeducators/Instructional Assistant FTE
- 12.5 Annual Elementary School operating budgets ($4.0 million each)
- + 3.0 Student to Classroom Teacher Ratio (averaged across system)



Board Information Requests



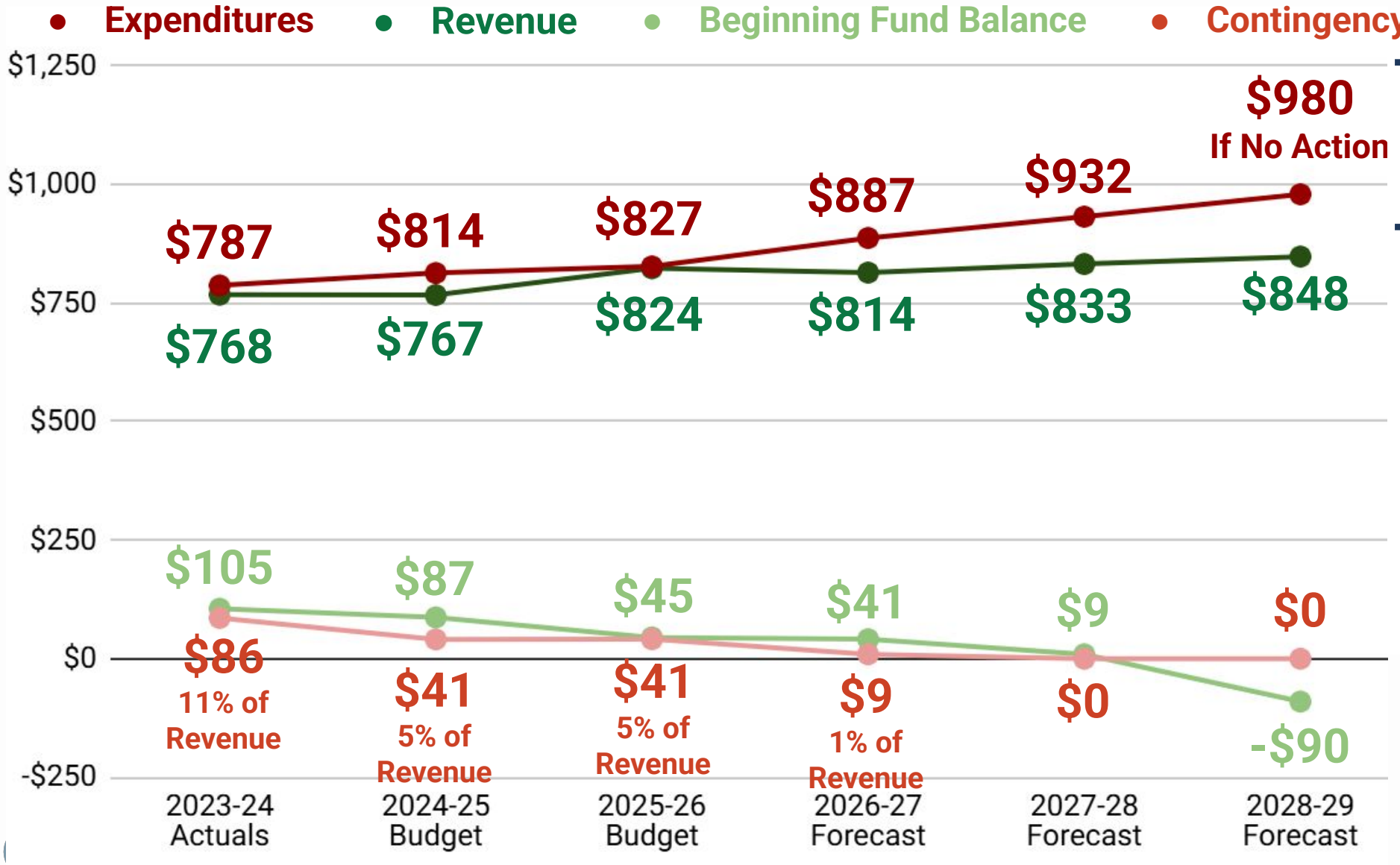
Ave Teacher Salary	$104,579
Social Security	$8,000
Workers Comp	$711
Unemployment Comp	$105
PFMLA	$471
Other Employer Paid Benefits	$188
Retiree Health Insurance	$492
Early Retirement Benefits	$167
Insurance	$23,561
PERS/PERS UAL	$22,578
Total Cost Per FTE	**$160,851**

Unfunded Mandates and Valuation

- Research based on COSA Legislative Reports
  - 2025, 2024
  - 2023, 2022, 2021
- Long-standing rules
  - Division 22 Requirements
  - FAPE (Free and Appropriate Education)
  - Participation in the Public Employee Retirement System
  - Providing equitable access and instruction to English Learners
  - Student Transportation and Access



2025-26 Projected General Fund (In Millions)

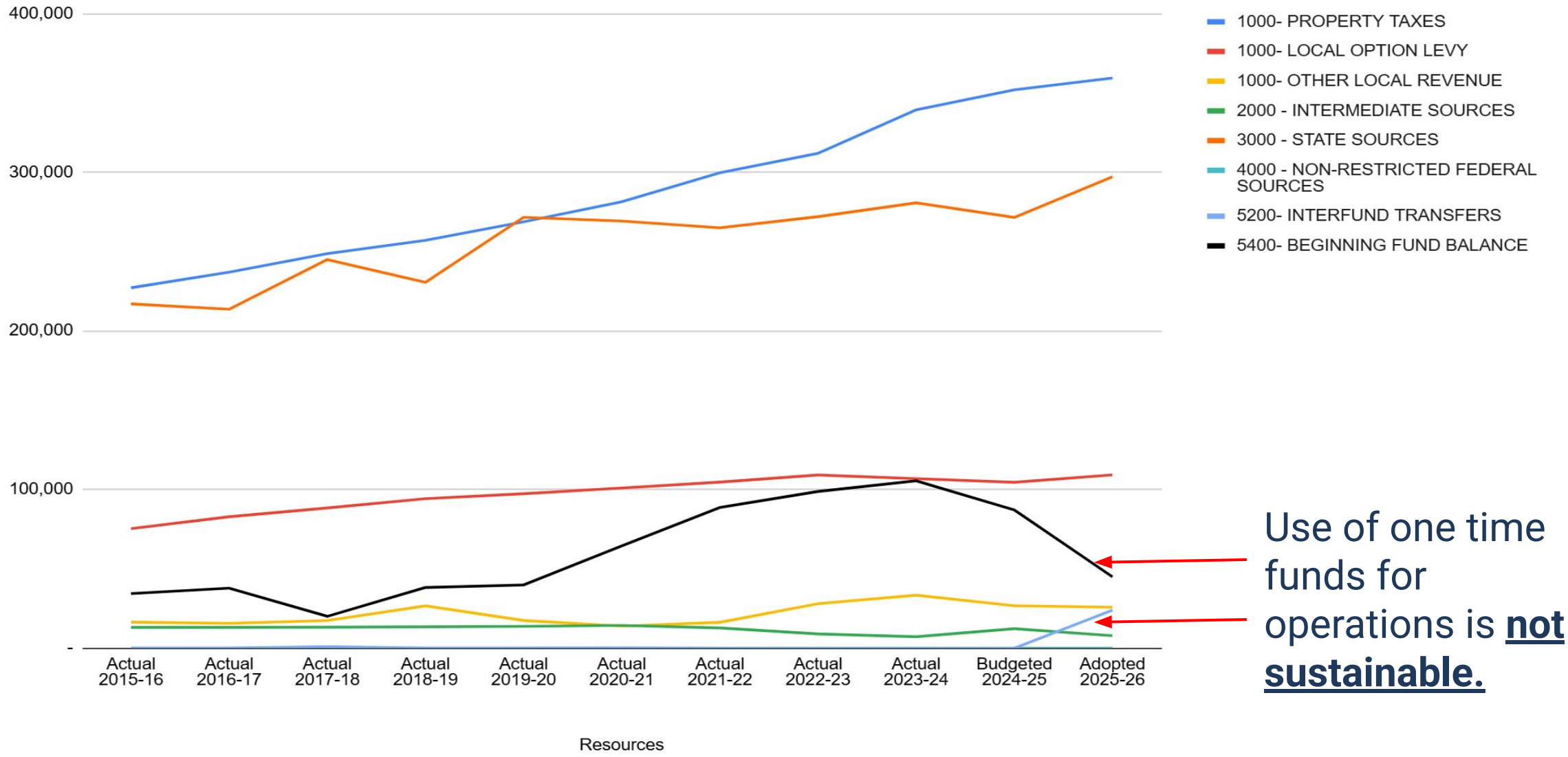


→ Expenses are increasing while revenue declines.

→ If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

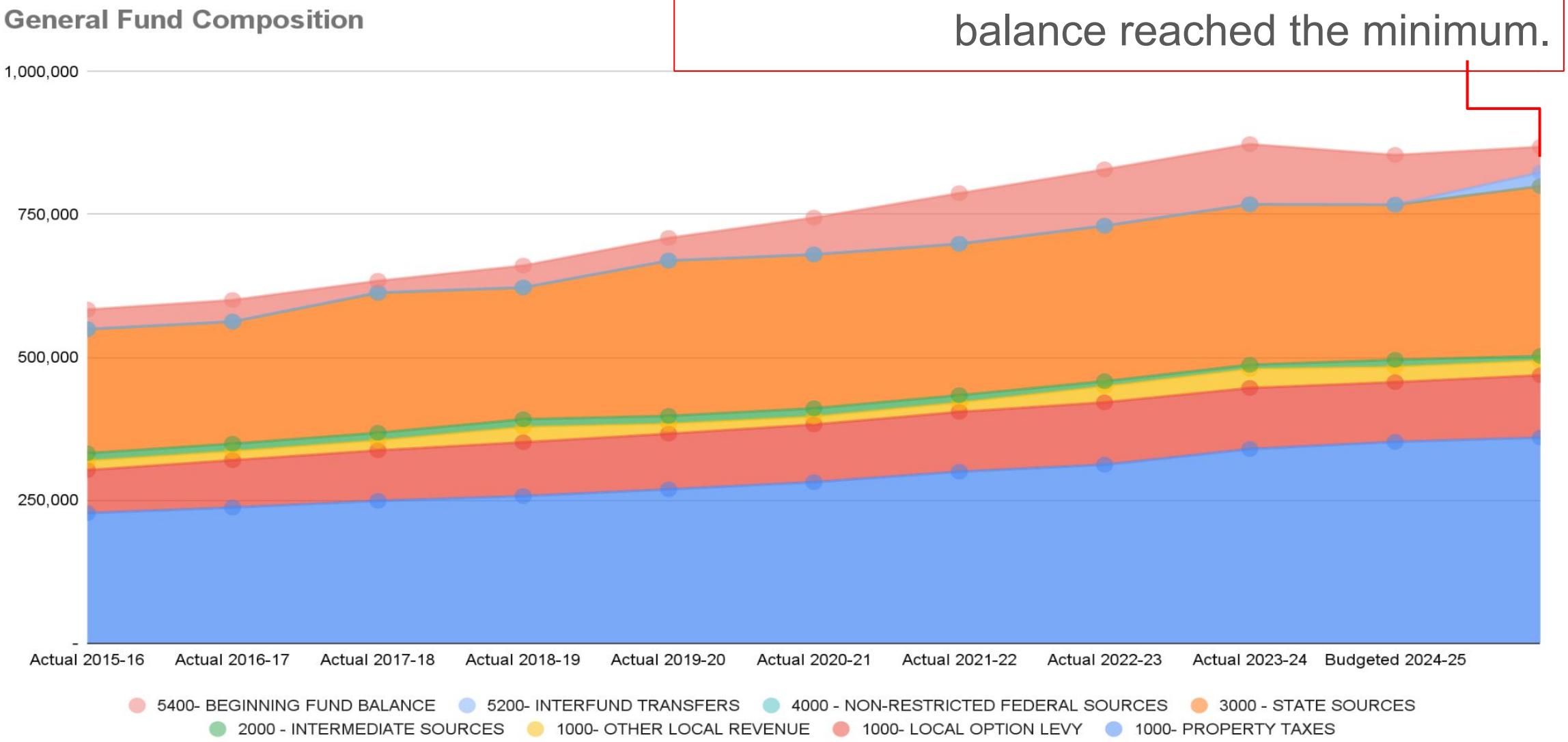
2015-16 to 2025-26 General Fund Revenue (In Thousands)



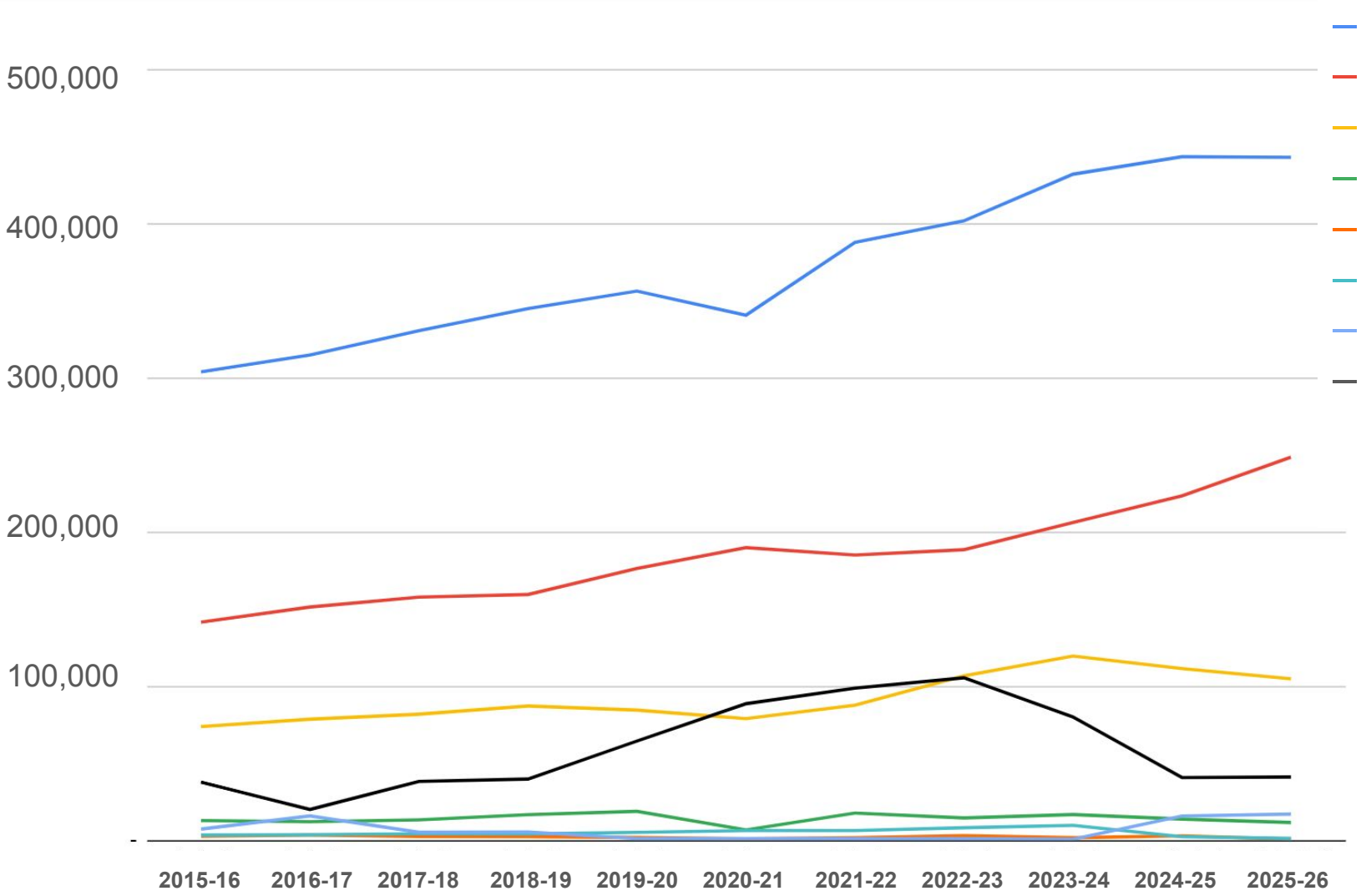
Use of one time funds for operations is **not sustainable.**

2015-16 to 2025-26 General Fund Revenue (In Thousands)

2025-26 transfer of full reserves as fund balance reached the minimum.

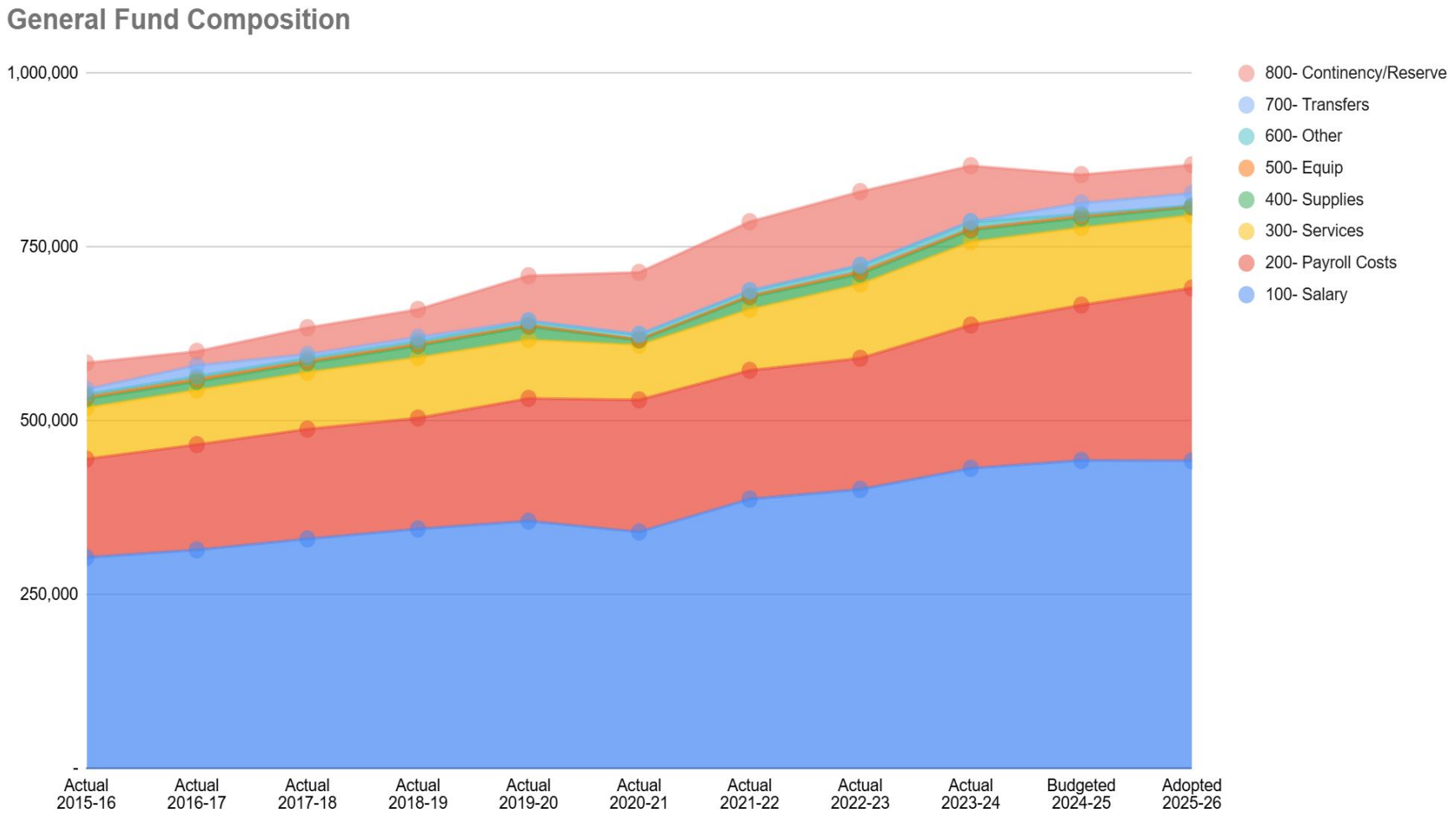


2015-16 to 2025-26 General Fund Expenses (In Thousands)



- ➔ Expenses for staffing have been rising, even with reductions to FTE
- ➔ Contingency has been reduced to the minimum target of 5%
- ➔ Contingency funds are one-time and should not be used for regular staffing or operations

2015-16 General Fund Spending Stacked (In Millions)



- Expenses for staffing have been rising, even with reductions to FTE
- Note: contingency has been reduced to the minimum target of 5%
- Contingency funds are one-time and should not be used for regular staffing or operations

DRAFT: Estimates are preliminary.